

GREAT DEPRESSION



ON 24 OCTOBER, 1929, the world's financial heart – the New York Stock Exchange – stopped beating. Share prices crashed, consumers stopped investing, banks failed, and millions of people lost their jobs. Within a year, a severe economic depression gripped the world, and governments struggled to cope with the crisis. Ill-thought-out economic policies led to social unrest and the rise of right-wing authoritarian governments in Europe. The Great Depression lasted for a decade; it ended when the threat of war resulted in the need for workers to produce armaments.



Roaring Twenties
Once western economies had recovered from World War I, they entered a period of rapid growth. High public confidence, low interest rates, and optimistic investments created a boom in the 1920s. Women enjoyed greater freedom, and most people spent more on leisure and entertainment than ever before.

A fashionable 1920s "flapper"

US magazine front cover, 1926

Wall Street Crash

In 1929, after years of rising share prices, the Stock Exchange on New York's Wall Street saw a dramatic crash (fall) in prices. The crash bankrupted many companies and private citizens.



Jarrow marchers on their way to London



Bread line, New York, 1932

Soup kitchens

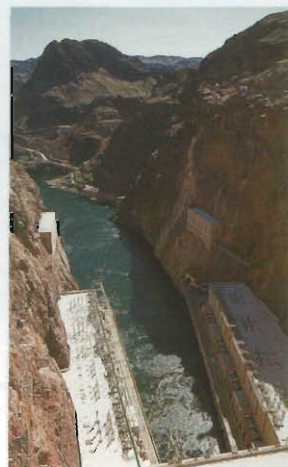
Many people lost their life savings after the Wall Street Crash, and bankrupt companies had to lay off their workers. With no work and no social security system, millions of American families faced poverty and hunger. Every town opened soup kitchens to provide at least one good meal a day.

Jarrow March

By the early 1930s, the effects of the Depression had spread to Britain, Germany, and the rest of the world. Poverty was rife. In 1936, 200 unemployed workers marched 444 km (276 miles) from Jarrow, northeast England, to the capital, London, demanding jobs. Almost 70 per cent of Jarrow's workers were out of work.

New Deal

In 1932, FD Roosevelt won the US presidential election against President Hoover. He pledged "a new deal for the American people", establishing agencies to regulate business, start public works programmes, and build a series of huge hydroelectric power plants, such as the Hoover Dam, in order to provide employment.



Hoover Dam, Nevada, USA



A family in the Texas Dust Bowl, 1938

Dust Bowl

In the United States, years of over-farming and drought caused dust storms throughout the mid-western states during the 1930s. Thousands of farmers, already hit hard by the Depression and suffering desperate poverty, were forced to abandon their land to seek work in the fruit farms of California. Few found it. Their plight was immortalized in John Steinbeck's classic novel, *The Grapes of Wrath* (1939).

Rearmament

From the 1930s, world leaders took action to combat unemployment: the USA's President Roosevelt started the New Deal to get people back to work. However, it was renewed war in Europe that ended the Depression. Armament factories producing aeroplanes and tanks created new jobs and revitalized the world economy.



Italy's Fascist leader Benito Mussolini taking the salute at a rally

Rise of Fascism

The Depression caused much tension. Socialists agitated for reform, but some countries looked to right-wing solutions. Italy had had a Fascist government since 1922; Germany got one in 1933, and Spain in 1936. Authoritarian governments across Europe quashed dissent from workers and left-wingers.

Franklin D Roosevelt

Roosevelt (1882–1945) became Democratic senator for New York in 1910, and Assistant Secretary to the Navy from 1913–1920. In 1921 he developed polio and was paralysed, which confined him to a wheelchair for the rest of his life. He returned to public life in 1928 as governor of New York, and won the 1932 presidential election. He promised "direct, vigorous action" against the Depression, and won re-election three times. He led the USA to victory in World War II.



Timeline

- 1929 Wall Street Crash.
- 1930 World unemployment doubles.
- 1931 Britain forms national government to deal with crisis.
- 1932 More than 1 in 4 workers unemployed in USA; unemployment in Germany triples to 5.6 million.
- 1933 Hitler comes to power in Germany, with promises to get the country back to work through rearmament and national expansion.
- 1933 Slow recovery begins in USA and Europe.
- 1939 Outbreak of war in Europe ends Depression as workers are employed in armament factories.

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